BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

Case 25-G-0073

April 10, 2025

Prepared Testimony of:

Gas Forecasting Panel

Kathleen Trischitta
4 Irving Place
New York, New York, 10003

Andrew Nicholas
4 Irving Place
New York, New York, 10003

Johan Tolosa
4 Irving Place
New York, New York, 10003

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

GAS FORECASTING PANEL
UPDATE TESTIMONY

Q. Please state your names.

A. Kate Trischitta, Johan Tolosa, and Andrew Nichols.

Q. Have you previously submitted testimony in this proceeding?

A. Yes. We previously submitted direct testimony as the Gas Forecasting Panel ("Panel") on behalf of Consolidated Edison Company of New York, Inc. ("CECONY" or "Company") as part of the Company's January 2025 filing.

PURPOSE OF TESTIMONY

Q. What is the purpose of your update testimony?

A. Our update testimony presents the updates used to develop the Company's updated forecast of firm gas volumes and delivery revenues.

UPDATED VOLUME FORECAST

Q. Is the Panel updating the Delivery Volume and Revenue forecast?

A. Yes.

Q. Why are you updating your forecast?

A. We are updating the forecast to account for more recent actual information as described below.

Q. How does this updated forecast differ from your initial forecast?

A. In this update, we applied the same methodologies as in our initial forecast, but we made the following changes:

(1) We shifted the historic year to the twelve months ended December 31, 2024, which changed the start of the forecast period to January 2025;

(2) We updated the 30-year weather normal to reflect the average condition over the 30 years ended December 31, 2024 as the normal weather condition;

(3) We updated the water normal to reflect the average condition over the 30 years ended December 31, 2024 as the normal water condition;

Q. What is the result of this updated forecast?

A. The updated firm delivery volume forecast for the rate years ending December 31, 2026 ("RY1"), December 31, 2027 ("RY2") and December 31, 2028 ("RY3") are 165,630 MDt, 161,621 MDt and 160,331 MDt, respectively as shown in Exhibit __ (GFP-6). When compared to the Company's initial forecast, these volumes represent

decreases of 406 MDt in 2026, 1,063 MDt in 2027, and 162,223 MDt in 2028. This translates into decreases of 0.24% in RY1, % 0.65% in RY2, and 1.17%% in RY3.

Q. What led to the decrease in the firm delivery volume forecast?

A. The primary driver is the lower normalized historic year volumes. The Panel updated the historic year volumes to include adjusted sendout volumes for the 12 months ended December 2024.

Q. Did the Panel also update the volumes projected for SC-12 Rate 1 Non-Firm (interruptible) and SC-12 Rate 2 Off-Peak Firm?

A. Yes. The change in base year and the transfers between firm and non-firm volumes resulted in updated forecasted volumes for RY1 of 23,059 MDt, which is an increase of 282 MDt relative to the Panel's initial forecast.

Q. Is the Panel sponsoring any exhibits that accompany this update testimony?

A. Yes. The Panel is sponsoring three exhibits: Exhibit __ (GFP-6) through Exhibit ___ (GFP-8).

Q. Were these exhibits prepared under the Panel's direction and supervision?

A. Yes. We describe each of these exhibits in our testimony below and request that they be marked for identification.

UPDATE TO HISTORIC YEAR AND NORMAL WEATHER

Q. Why did the Panel shift the historic year?

A. When completing the initial forecast, historical data were available through September 2024. We now have historical data through December 2024, so we included the available data to shift the historic year to the 12 months ended December 31, 2024.

Q. Did the Panel perform any updates to the normal weather?

A. Yes.

Q. Please describe those updates.

A. To reflect the most recent historical weather data, we adjusted the normal weather assumed in the forecast. The normal weather forecast is now based on the average weather condition over the 30 years ended 2024, instead of the 30 years ended 2023.

Q. Did the Panel also update the normal water temperature?

A. Yes.

Q. Please describe this update.

A. To reflect the most recent historical data, we adjusted the normal water temperature. The normal water temperature assumed in the forecast is now based on the average weather condition over the 30 calendar years ended 2024, instead of the 30 calendar years ended 2023.

Q. Did the change to the historic year plus the normal weather and water have an impact on the updated forecast?

A. Yes.

Q. Please explain the impact.

A. These changes resulted in weather-water-normalized base period volumes on Line 4 of Exhibit __ (GFP-6) page 1 that are 338 MDt, or about 0.2%, higher than the weather-water normalized volumes in the January 2025 filing.

FORECAST COMPONENTS

Q. Did the Panel perform any updates on the forecast components?

A. Yes.

Q. Please explain them.

A. Regarding the forecast components, we performed updates to "Transfers from Interruptible Service" adjustment (Line 5), "Billing Schedule Adjustment" (Line 6), "Oil to Gas Conversions" (Line 8), "New Business" (Line 9), "Energy Efficiency" (Line 10), and "Electrification" (Line 11), on Exhibit __ (GFP-6), page 1 of 3.

We performed these updates to reflect the change in the historic year to the 12 months ended December 31, 2024. Therefore, volumes that were included in the forecast period in the January 2025 filing for the three months ended December 31, 2024, are now included in the historic year actuals.

Q. Regarding Exhibit __ (GFP-6), please explain the difference in the total MDt in the adjustments made to

the Normalized Volumes on Line 4 for this update forecast compared to the January 2025 filing for RY1.

A. In general, because weather-water normalized volumes decreased in the updated historic year, the changes to the forecast based on the updated information decreased the forecasted gas volumes. Line 7 is the total of components in Lines 5 through 6. The differences in the adjustments between this update filing and the January 2025 filing are the following:

Transfers from Interruptible Service (Line 5): 4 MDt increase to the weather and water normalized volumes on Line 4; and

Billing Schedule Adjustment (Line 6): 745 MDt decrease to the volumes on Line 4.

Q. What is the total MDt difference in the adjustment made to the Base Estimate on Line 4 of this update forecast compared to the January 2025 filing for RY1?

A. Line 12 is the total of components in Lines 8 through 11. The difference is the following:

Oil to Gas Conversions (Line 8): 130 MDt lower adjustment to the base estimate on Line 7;

New Business (Line 9): 799 MDt lower adjustment to the base estimate on Line 7;

Energy Efficiency (Line 10): 1,036 MDt upward adjustment to the base estimate on Line 7; and

Electrification (Line 11): 111 MDt lower adjustment to the base estimate on Line 7.

Q. Has the methodology the Panel used to forecast volumes changed since the January 2025 filing?

A. No.

UPDATED REVENUE FORECAST

Q. Please describe what page 1 of Exhibit ___ (GFP-7) shows.

A. Page 1 shows updated gas delivery volumes and revenues for the 12 months ending December 31, 2026 at current rates, which are effective as of January 1, 2025 and at proposed rates.

Q. How did the Panel determine the delivery revenue associated with the updated volumes forecast?

A. The Company determines the updated delivery volumes forecast by using the same methodology utilized in our initial revenue forecast. Additionally, the Panel

increased the forecast of non-firm volumes to reflect the latest 12 months of actuals, *i.e.*, through December 2024.

Q. Has the Panel made any changes to the method used to price firm base revenues, shown in column 2, associated with related firm volumes?

A. No.

Q. Did the Panel update the forecast of 30-day bills used to determine minimum charge revenue?

A. Yes. We updated the forecast to reflect the updated actual data.

Q. Did the Panel update the forecast of competitive revenues?

A. Yes. We updated to reflect the new volume and bills forecast. Additionally, we updated the Merchant Function Charge ("MFC") portion of the competitive revenues (Credit & Collections and Supply) to correct a pricing error in the initial forecast.

Q. Please summarize the revenue forecast.

A. The projected firm delivery revenues (in $1,000's), inclusive of the low-income discount at current rates,

are $2,233,492 for RY1; $2,191,159 for RY2; and $2,176,346 for RY3. These represent an increase of $92 thousand, a decrease of $7.8 million, and a decrease of $19.1 million over the respective rate year total revenues in the January 2025 filing.

Q. Please describe Exhibit __ (GFP-8).

A. This exhibit shows, where applicable, the updated firm volume, 30-day bills forecast, and associated revenues by billing determinant.

Q. In developing the revenue forecasts, did the Panel also forecast the level of projected base revenue in the same manner as the January 2025 filing?

A. Yes.

Q. Does this conclude your update testimony?

A. Yes, it does.